



CHAPTER vii.

An Act to increase the powers of the Newcastle and Gateshead Water Company of raising money by borrowing on mortgage or by the creation and issue of debenture stock to extend the time for the completion of certain authorised works and for other purposes.

[25th April 1940.]

WHEREAS the Newcastle and Gateshead Water Company (hereinafter referred to as "the Company") were incorporated by the Newcastle and Gateshead Waterworks Act 1863 and are by virtue of that Act and subsequent Acts authorised to supply water within an area which comprises the city and county of Newcastle-upon-Tyne the boroughs of Gateshead and Wallsend and certain parishes and places in the counties of Durham and Northumberland :

26 & 27 Vict.
c. xxxiv.

And whereas under the provisions of the Newcastle and Gateshead Waterworks Act 1935 and previous Acts of the Company the authorised capital of the Company was three million two hundred and ten thousand pounds and the Company were empowered to raise by borrowing on mortgage of their undertaking sums amounting in the aggregate to one-half of the amount for the time being raised by the issue of the authorised capital or to create and issue debenture stock in lieu of exercising such borrowing powers :

25 & 26
Geo. 5.
c. xxx.

Ch. vii. *Newcastle and Gateshead* 3 & 4 GEO. 6.
Waterworks Act, 1940.

And whereas at the first day of February one thousand nine hundred and forty the issued capital of the Company consisted of the following:—

	£
Ordinary stock entitled to a maximum dividend of ten per centum per annum - - - - -	388,390
Ordinary stock entitled to a maximum dividend of seven per centum per annum - - - - -	654,205
Consolidated five per centum preference stock - - - - -	1,217,055
Five per centum redeemable preference stock - - - - -	288,188

and the Company had received on the issue of the said ordinary and preference stocks premiums to the aggregate amount of six hundred and sixty-two thousand one hundred and sixty-two pounds:

And whereas at the said first day of February the Company had created and issued debenture stock to the nominal amount of one million five hundred and sixty-four thousand five hundred and seven pounds and had received in respect of such issue premiums amounting (after allowing for discounts) to one hundred and sixty-six thousand two hundred and sixty-three pounds sixteen shillings and eightpence:

And whereas there are no outstanding mortgages of the undertaking of the Company:

1 & 2 Geo. 6.
c. lxxxii.

And whereas by the Newcastle and Gateshead Waterworks Act 1938 (hereinafter referred to as "the Act of 1938") the Company were authorised to execute certain waterworks and to raise additional capital to the amount of four hundred thousand pounds and to raise by borrowing on mortgage of their undertaking sums amounting to one-half of the amount for the time being raised by the issue of the said additional capital or to create and issue debenture stock in lieu of exercising such borrowing powers:

And whereas certain of the waterworks authorised by the Act of 1938 are in process of construction and the cost thereof will be defrayed or partly defrayed out of money recently raised by the creation and issue of

preference stock and of debenture stock but it may be impracticable for the Company to complete the said waterworks within the period limited for that purpose by the said Act:

And whereas the remainder of the waterworks authorised by the Act of 1938 are of a less urgent character than those which are now in course of construction and the execution thereof can be deferred for the time being but will have to be carried out as soon as circumstances permit:

And whereas the Company apprehend that owing to circumstances arising out of the present war it may be impracticable for them to raise on reasonable terms by the issue of ordinary or preference stock any part of the money required for defraying the cost of executing the said deferred waterworks and other necessary expenditure on capital account and the exercise of the borrowing powers conferred by the Act of 1938 is contingent upon the issue of such ordinary or preference stock:

And whereas it is expedient that for the purpose of enabling the Company to raise money for the purposes of their undertaking on the most advantageous terms the amount which they may raise by borrowing on mortgage of their undertaking or by the creation and issue of debenture stock should be temporarily increased as provided by this Act:

And whereas it is expedient that the period now limited by the Act of 1938 for the completion of the waterworks authorised by that Act should be extended:

And whereas it is expedient that the other provisions contained in this Act should be enacted:

And whereas the objects of this Act cannot be attained without the authority of Parliament:

May it therefore please Your Majesty that it may be enacted and be it enacted by the King's most Excellent Majesty by and with the advice and consent of the Lords Spiritual and Temporal and Commons in this present Parliament assembled and by the authority of the same as follows:—

1. This Act may for all purposes be cited as the Short title.
Newcastle and Gateshead Waterworks Act 1940.

Incorporation of Acts.

2. The following Acts and Part of an Act (so far as the same are applicable for the purposes and are not inconsistent with the provisions of this or any former Act of or relating to the Company) are hereby incorporated with this Act (namely):—

8 & 9 Vict.
c. 16.

(1) The Companies Clauses Consolidation Act 1845 except the provisions thereof with respect to the conversion of the borrowed money into capital:

26 & 27 Vict.
c. 118.

(2) Part III (relating to debenture stock) of the Companies Clauses Act 1863 as amended by subsequent Acts:

Provided that in the application to the Company of the said Part III section 22 of the said Companies Clauses Act 1863 shall be read and have effect as if the words “and to the same amount as” were omitted therefrom.

Interpretation.

3. In this Act the several words and expressions to which meanings are assigned by the Acts wholly or partly incorporated herewith have the same respective meanings unless there be something in the subject or context repugnant to such construction.

And in this Act unless the subject or context otherwise requires—

“the Company” means the Newcastle and Gateshead Water Company;

“the undertaking” means the undertaking of the Company for the time being;

“the limits of supply” means the limits within which the Company are for the time being authorised to supply water;

“the directors” means the directors of the Company for the time being;

“the Minister” means the Minister of Health.

Increase of borrowing powers.

4.—(1) The Company may without being required to obtain the certificate of a justice under section 40 of the Companies Clauses Consolidation Act 1845 from time to time borrow on mortgage of the undertaking in respect of their ordinary or preference stock issued at the date of the passing of this Act and in

addition to the debenture stock which they have before the said date created and issued in respect of such issued ordinary and preference stock any sum or sums not exceeding in the whole three hundred and sixty-one thousand five hundred pounds or may create and issue debenture stock to any nominal amount not exceeding the said sum of three hundred and sixty-one thousand five hundred pounds.

(2) The Company may also—

(a) borrow on mortgage of the undertaking in respect of any ordinary and preference stock issued by them after the passing of this Act any sum or sums not exceeding in the whole sixty per centum of the amount (including premiums and allowing for discounts) which at the time of borrowing has been raised by the issue of such ordinary and preference stock but no sum shall be borrowed in respect of such stock until the Company have proved to a justice before he gives his certificate under section 40 of the Companies Clauses Consolidation Act 1845 that the whole of the amounts payable in respect of such stock at the time issued together with the premiums (if any) realised thereon or after allowing for discounts (if any) given on the issue thereof has been fully paid up; or

(b) create and issue debenture stock to any nominal amount not exceeding sixty per centum of the amount which at the time of such issue has been so raised as aforesaid.

5. Subject to the provisions of this Act the following provisions of the Newcastle and Gateshead Waterworks Act 1938 shall apply and have effect for or in connection with the purposes of this Act as if those provisions were in terms re-enacted in this Act:—

Application
of certain
provisions
of New-
castle and
Gateshead
Waterworks
Act 1938.

Section 47 (Debenture stock);

Section 48 (Priority of mortgages and debenture stock over other debts);

Section 49 (Priority of principal moneys secured by existing mortgages);

Section 50 (Appointment of receiver); and

Section 51 (Application of money).

As to cesser
of certain
provisions
of Act &c.

6.—(1) The provisions of the sections of this Act of which the marginal notes are respectively "Increase of borrowing powers" and "Application of certain provisions of Newcastle and Gateshead Waterworks Act 1938" shall cease to have effect on the expiration of the period of ten years after such date as may hereafter be declared to be the date of the termination of the present war and if before the expiration of that period the Company shall under the powers conferred by the said sections have borrowed on mortgage of the undertaking any sum or sums exceeding in the whole one-half of the amount (including premiums and allowing for discounts) raised by the creation and issue of ordinary and preference stock issued at the date of such expiration or have created and issued debenture stock to a greater nominal amount than such one-half the Company shall not after such expiration—

(a) borrow on mortgage of the undertaking any further sum of money or create and issue any further debenture stock until after they shall have raised by the issue or creation and issue of further amounts of ordinary or preference stock a sum equal to or exceeding twice the amount of such excess; or

(b) at any time exercise in respect of the sum raised by the issue of such further amounts of ordinary or preference stock as last aforesaid or so much of that sum as is equal to twice the amount of the said excess (whichever shall be the less) any powers of borrowing on mortgage of the undertaking or of creating and issuing debenture stock:

Provided that nothing in this subsection shall invalidate any mortgage or debenture stock granted or issued under the powers of the said sections before the expiration of the said period or prejudice or affect the rights or remedies of any holder of any mortgage or debenture stock so granted or issued.

(2) So long as the sections of this Act referred to in subsection (1) of this section shall continue in operation in accordance with that subsection the provisions of those sections shall have effect in lieu of the provisions of any former Act empowering the Company to raise money by borrowing on mortgage of the undertaking or by the creation and issue of debenture stock.

7.—(1) Notwithstanding anything in any Act or Order relating to the Company the Company may with the approval of the Minister and subject to such conditions as he may think fit to impose offer for subscription—

Provisions
as to issue
of capital
by subscrip-
tion and
payment of
commis-
sions.

(a) to consumers of water supplied by the Company and employees of the Company;

(b) by the public; and

(c) by private treaty;

or by any one or more of those modes any ordinary or preference stock which they may for the time being be authorised to issue without offering the same for sale by public auction or tender.

(2) On the offer for sale by auction or tender or for subscription by the public of any ordinary or preference stock or debenture stock the Company may pay a commission not exceeding (except with the approval of the Minister) one and a half per centum to any person in consideration of his subscribing or agreeing to subscribe whether absolutely or conditionally for any such stock or procuring or agreeing to procure subscriptions (whether absolute or conditional) therefor:

Provided that—

(a) the payment of the commission and the amount or rate per centum of the commission paid or agreed to be paid shall be disclosed in every prospectus advertisement or other document of the Company relating to the offer for sale or inviting subscriptions for such stock; and

(b) no commission other than a normal underwriting commission shall be paid by the Company under the powers of this section when any ordinary or preference stock or debenture stock is issued by auction.

(3) Nothing in this section shall affect any power of the Company to pay brokerage.

Company
not bound
to regard
trusts.

8. The Company shall not be bound to see to the execution of any trusts whether express implied or constructive to which any ordinary stock preference stock or debenture stock for the time being issued may be subject and the provisions of section 20 of the Companies Clauses Consolidation Act 1845 shall mutatis mutandis extend and apply to any stock or debenture stock of the Company as if the same were shares in the capital of the Company.

Receipt in
case of
minors.

9. If any money is payable to a mortgagee or a holder of ordinary or preference stock or debenture stock being a minor the receipt of his guardian shall be a sufficient discharge to the Company.

Purchase
and can-
cellation of
Company's
securities.

10.—(1) The Company may at any time purchase by agreement any debentures or debenture stock of the Company at a price not exceeding the market value thereof but for that purpose may apply only moneys for the time being in their hands which they are entitled to apply to capital purposes.

(2) Any debentures or debenture stock purchased under the provisions of this section shall be cancelled and extinguished and the amount of any debentures or debenture stock so cancelled and extinguished shall be deemed to be money borrowed and paid off by the Company within the meaning of section 39 of the Companies Clauses Consolidation Act 1845 and the provisions of that section as to reborrowing by the Company shall apply accordingly.

Closing of
transfer
books.

11.—(1) The directors may close the register of transfers of ordinary or preference stock of the Company for a period not exceeding fourteen days previous to the declaration of any dividend on such

stocks respectively and they may close the registers of transfers of mortgages and debenture stock for a period not exceeding fourteen days previous to each date at which the interest thereon shall be payable and the directors may in any such case fix a day for the closing of any register which they are authorised to close under the provisions of this section.

(2) Seven days' notice of the closing of any such register shall be given by advertisement in a newspaper published and circulating in the limits of supply and any transfer of ordinary or preference stock mortgages or debenture stock made or lodged for registration during the time when the register of transfers of such stock or security is so closed shall as between the Company and the person claiming under the same but not otherwise be considered as made subsequently to the declaration of any such dividend or the payment of any such interest as the case may be.

12. Notwithstanding anything in section 13 of the Companies Clauses Consolidation Act 1845 or in any Act or Order relating to the Company the Company shall not be under any obligation to issue a new debenture or mortgage bond or a new certificate of any stock or debenture stock or a new warrant in respect of interest or dividend in lieu of any debenture or mortgage bond certificate or warrant lost or destroyed or alleged to be lost or destroyed until they have received from the person to whom such new debenture or mortgage bond certificate or warrant is to be issued such indemnity as the directors may require against any and every claim or expense which may be made against the Company or which the Company may incur in respect of such lost or destroyed debenture or mortgage bond certificate or warrant or the debenture mortgage stock debenture stock dividend or interest represented thereby.

Indemnity
before issue
of substi-
tuted certifi-
cates &c.

13.—(1) The number of the directors shall be eight but the Company may from time to time vary the number provided that the number be not at any time more than eight or less than six. Provided that the directors shall not be required to fill up any vacancy so long as the number of continuing directors is not less than six.

Number of
directors.

(2) Section 42 (Power to reduce the number of directors) and the words "The number of directors shall be ten and" in section 41 (Number and qualification of directors) of the Newcastle and Gateshead Waterworks Act 1863 are hereby repealed.

Directors
holding
office under
or contract-
ing with the
Company.

14. Notwithstanding anything in the Companies Clauses Consolidation Act 1845 no person shall be disqualified from being a director by reason of his holding any office or place of trust or profit under the Company or by reason of his being interested in any contract with the Company nor shall any director be required to cease from voting or acting as a director by reason of his accepting any such office or place of trust or profit or becoming interested in any such contract:

Provided that—

- (a) in the case of his being or becoming interested in any contract with the Company whether such interest arises before or after his appointment as a director the nature of his interest in the contract shall be disclosed by him at the meeting of the directors at which the contract is determined on if his interest then exists or in any other case at the first meeting of the directors after the acquisition of his interest or after his appointment; and
- (b) no director shall as a director vote in respect of any such contract and if he does so vote his vote shall not be counted but this prohibition shall not apply to any contract by or on behalf of the Company to give to the directors or any of them any security by way of indemnity.

For the purposes of paragraph (a) of this proviso a general notice given to the directors by one of them to the effect that he is a member of a specified company or firm and is to be regarded as interested in any contract which may after the date of the notice be made with that company or firm shall be deemed to be a sufficient declaration of interest in relation to any contract so made.

15.—(1) Except in the case of a director retiring by rotation and offering himself or being proposed for re-election no person shall be capable of being elected a director at a general meeting of the Company unless notice in writing that such person intends to offer himself or will be proposed for the office of director shall have been given to the secretary or left at the principal office of the Company fourteen days at least before the day of election and the secretary shall during such fourteen days and on the day of election keep fixed in some conspicuous place in such office a copy of every such notice so delivered.

Notice of
candidature
of or of
opposition
to re-elec-
tion of
director.

(2) In the case of a retiring director notice of opposition to his re-election shall be given in like manner.

16. Notwithstanding anything contained in section 98 (Proceedings to be entered in books) of the Companies Clauses Consolidation Act 1845—

Minutes of
meetings.

- (a) Minutes of the proceedings of a meeting of the Company or of the directors or of a committee of the directors shall be drawn up and entered in books kept for that purpose and shall be signed at the same or next ensuing meeting of the Company or of the directors or committee (as the case may be) by the person presiding thereat and any minute purporting to be so signed shall be received in evidence without further proof;

- (b) Until the contrary is proved a meeting of the Company or of the directors or of a committee of the directors in respect of the proceedings whereof a minute has been so made and signed shall be deemed to have been duly convened and held and all the persons present at the meeting shall be deemed to have been duly qualified and where the proceedings are proceedings of a committee the committee shall be deemed to have been duly constituted and to have had power to deal with the matters referred to in the minutes.

Extension
of time for
completion
of works.

17. The period limited by the Newcastle and Gateshead Waterworks Act 1938 for the completion of the works authorised by that Act is hereby extended until the first day of October one thousand nine hundred and fifty.

Saving for
emergency
powers of
Treasury.
2 & 3 Geo. 6.
c. 62.

18. So long as the making of an issue of capital in the United Kingdom without the consent of the Treasury is prohibited by regulations made under the Emergency Powers (Defence) Act 1939 it shall not be lawful to exercise the powers of borrowing conferred by this Act without such consent.

Costs of Act.

19.—(1) All costs charges and expenses preliminary to and of and incidental to the preparing applying for obtaining and passing of this Act or otherwise in relation thereto shall be paid by the Company and may in whole or in part be defrayed out of revenue.

(2) The Company may apply any moneys raised by them under the powers of this Act in defraying the said costs charges and expenses or so much thereof as they may decide not to defray out of revenue.

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